Solved copy: Sunrise Bakeries

Every problem found, checked against the PayNest Contracting Standards. A fictional contract, for training only.

44	High
Risk score out of 100	Final rating

How the score is worked out: 15.5 / 35 x 100 = 44.3, rounded to 44, which falls in Medium (21 to 45).

Why this rating: The score alone says Medium, but P1 and P3 are key rules and both are Not acceptable, so the safety rule raises the contract to **High**. A lawyer must decide before this goes further.

Rule	Where	The contract says	Our standard	Result	Weight	Points
P1 Limitation of Liability	Clause 8.1	No limit at all	Cap of 12 months' fees	Not acceptable	5	5
P2 Indemnification	Clause 7.1	Both sides, fault only	Both sides, fault only	OK	5	0
P3 Security Incident Notification	Clause 4.2	6 hours from any incident	24 hours from confirming	Not acceptable	5	5
P4 Service Levels and Credits	Clauses 2.1, 2.2	99.5%, 10% credit cap, only remedy	99.5%, 10% credit cap, only remedy	OK	4	0
P5 Audit and Inspection	Clause 5.1	15 days' notice	30 days' notice	Acceptable	3	1.5
P6 Return and Deletion of Data	No clause	Nothing	Silent is fine	Not mentioned (fine)	3	0
P7 Confidentiality	Clauses 6.1, 6.3	Both sides, 3 years	Both sides, at least 3 years	OK	4	0
P8 Fees and Payment	Clause 3.2	45 days	30 days	Acceptable	2	1
P9 Term and Termination	Clause 9.2	60 days' notice	90 days' notice	Acceptable	2	1
P10 Governing Law	Clause 10.1	Singapore law and courts	Indian law, Bengaluru courts	Not acceptable	2	2
Total					**35**	**15.5**

Colours on the next pages: Not acceptable Acceptable OK

Checked on the real app: We ran this contract through the app 3 times. All 10 results matched this copy every time, with a score of 44 and a High rating.

PAYROLL SERVICES AGREEMENT

between **SUNRISE BAKERIES PRIVATE LIMITED** ("Sunrise"), the Client
and **PAYNEST TECHNOLOGIES PRIVATE LIMITED** ("PayNest"), the Service Provider

Fictional sample agreement prepared for training and testing purposes only.

1. WHAT THIS AGREEMENT IS ABOUT

1.1 Sunrise runs 40 bakery shops in Pune and has about 300 employees.

1.2 PayNest will run Sunrise's monthly payroll. This means working out each employee's pay, making payslips and preparing the salary bank file.

1.3 Sunrise will send PayNest the attendance details by the 20th day of each month.

2. SERVICE LEVELS

P4

2.1 PayNest will keep its payroll system available 99.5% of the time each month. Scheduled maintenance that PayNest announces at least seventy-two (72) hours in advance does not count.

2.2 If availability falls below 99.5% in a month, PayNest will give Sunrise a service credit of up to ten percent (10%) of that month's Fees. The service credit is Sunrise's sole and exclusive remedy for missing this target.

3. FEES AND PAYMENT

3.1 Sunrise will pay PayNest Fees of INR 90 per employee per month. PayNest will send an invoice at the start of each month.

P8

3.2 Sunrise must pay each invoice within forty-five (45) days of the invoice date.

3.3 If an undisputed invoice is still unpaid sixty (60) days after its due date, PayNest may suspend the Services by giving written notice.

4. DATA SECURITY

4.1 PayNest will use employee data only to run the payroll and will keep it in India.

P3

4.2 PayNest must tell Sunrise within six (6) hours of any security incident affecting employee data.

5. AUDITS

P5

5.1 Sunrise may audit PayNest once in any twelve (12) months, on at least fifteen (15) days' written notice, during business hours and at Sunrise's own cost. The auditor must keep what it sees confidential and must not be a competitor of PayNest. No audit may include the records of PayNest's other clients.

6. CONFIDENTIALITY

P7

6.1 Each Party will keep the other Party's confidential information secret and use it only for this Agreement. This includes PayNest's prices, system design and security documents.

6.2 This duty does not cover information that is public, was developed independently, was lawfully received from someone else, or must be disclosed by law.

6.3 This duty continues for three (3) years after this Agreement ends.

Page 1 of the contract: notes

P4 Service Levels and Credits
OK · Clauses 2.1, 2.2
Fine: Uptime, credit cap and sole remedy all match.

P8 Fees and Payment
ACCEPTABLE · Clause 3.2
Contract: 45 days. **Our standard:** 30 days.
Why: Inside 31 to 60 days, and our right to suspend is kept in Clause 3.3. Legal Counsel must approve.
Ask for: 30 days from the invoice date.

P3 Security Incident Notification
NOT ACCEPTABLE · Clause 4.2
Contract: 6 hours from any incident. **Our standard:** 24 hours from confirming.
Why: Under 12 hours is never acceptable. The clock also starts before PayNest knows what happened.
Ask for: Within 24 hours of confirming the incident, with a written report within 72 hours.

P5 Audit and Inspection
ACCEPTABLE · Clause 5.1
Contract: 15 days' notice. **Our standard:** 30 days' notice.
Why: Allowed, at the very edge of what we can accept. Legal Counsel must approve.
Ask for: 30 days' written notice. The other audit conditions are fine.

P7 Confidentiality
OK · Clauses 6.1, 6.3
Fine: It is mutual, covers our security documents, and lasts 3 years.

7. INDEMNITY

P2 7.1 Each Party will indemnify the other Party against third-party claims, but only to the extent the claim is caused by the indemnifying Party's own breach of this Agreement, negligence or wilful misconduct.

8. LIABILITY

P1 8.1 PayNest's liability to Sunrise under this Agreement is unlimited.

9. ENDING THIS AGREEMENT

9.1 This Agreement lasts for two (2) years unless it is ended earlier under this Clause 9.

P9 9.2 Sunrise may end this Agreement at any time by giving PayNest sixty (60) days' written notice.

9.3 Either Party may end this Agreement if the other Party commits a material breach and does not fix it within thirty (30) days of written notice.

9.4 Fees for Services already performed will not be refunded.

9.5 PayNest may suspend or end the Services by written notice if Sunrise keeps failing to pay.

10. GOVERNING LAW

P10 10.1 This Agreement is governed by the laws of Singapore. The courts of Singapore will decide any dispute about this Agreement.

Signed by the authorised representatives of both Parties.

For Sunrise Bakeries Private Limited	For PayNest Technologies Private Limited
Signature: _____	Signature: _____
Date: _____	Date: _____

Page 2 of the contract: notes

P2 Indemnification
OK · Clause 7.1
Fine: Each side pays only for its own fault.

P1 Limitation of Liability
NOT ACCEPTABLE · Clause 8.1
Contract: No limit at all. **Our standard:** Cap of 12 months' fees.
Why: One bad incident could cost more than the client will ever pay us, and it cannot be insured.
Ask for: Replace with a cap of 12 months' fees for both sides, and exclude indirect loss.

P9 Term and Termination
ACCEPTABLE · Clause 9.2
Contract: 60 days' notice. **Our standard:** 90 days' notice.
Why: Inside 30 to 89 days, and the other exit terms are fine. Legal Counsel must approve.
Ask for: 90 days' written notice.

P10 Governing Law
NOT ACCEPTABLE · Clause 10.1
Contract: Singapore law and courts. **Our standard:** Indian law, Bengaluru courts.
Why: Any foreign law or court is never acceptable. A dispute abroad costs far more money and time.
Ask for: Laws of India, with the courts at Bengaluru.